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May 12, 2015					
FEDERAL MARITIME COMMISSION					

FEDERAL MARITIME COMMISSION

DOCKET NO. 14-16

BALTIC AUTO SHIPPING, INC.

v.

**MICHAEL HITRINOV a/k/a MICHAEL KHITRINOV and
EMPIRE UNITED LINES CO., INC.**

**ORDER DENYING COMPLAINANT'S
MOTION FOR LEAVE TO AMEND ITS COMPLAINT AND
ORDERS ON RELATED FILINGS**

BACKGROUND

I. COMPLAINANT'S MOTION FOR LEAVE TO AMEND ITS COMPLAINT.

A. Baltic's Motion.

On November 28, 2014, complainant Baltic Auto Shipping, Inc. (Baltic) commenced this proceeding by filing a Complaint with the Secretary. The Complaint alleges that respondent Empire United Lines Co., Inc. (Empire or EUL) is licensed by the Commission as a non-vessel-operating common carrier (NVOCC), FMC No. 012052. I take official notice of Commission records that indicate that Empire is licensed as an NVOCC. See Commission NVOCC list, <http://www2.fmc.gov/oti/NVOCC.aspx> (last visited December 16, 2014). Respondent Michael Hitrinov a/k/a Michael Khitrinov is alleged to be the sole principal and officer of Empire. Empire and Hitrinov are referred to collectively as Empire.

On December 22, 2014, Empire's motion for a more definite statement was denied in most respects, but Baltic was ordered to file an amended complaint revising Part V to designate specifically the statutory provisions alleged to have been violated. *Baltic Auto Shipping, Inc. v. Michael Hitrinov a/k/a Michael Khitrinov and Empire United Lines Co., Inc.*, FMC No. 14-16 (ALJ

Dec. 22, 2014) (Order on Respondents' Motion for a More Definite Statement). Baltic filed its Amended Complaint on January 9, 2015.

On April 27, 2015, Baltic filed a Motion for Leave to Amend Its Complaint supported by an affirmation by counsel in support of the motion. Baltic lodged a proposed Second Amended Verified Complaint as Exhibit A of the motion. The proposed Second Amended Complaint repeats the factual allegations of the Amended Complaint filed January 9, 2015. *Compare* original Complaint ¶¶ IV.11-21 *with* Proposed Second Amended Complaint ¶¶ IV.16-26. It also includes the contentions in the Amended Complaint that Empire violated sections 41104(2)(a), 41104(4)(a), and 41104(8) of the Shipping Act of 1984 by charging Baltic rates greater than those reflected in its published tariff and charging rates greater than those charged other shippers, section 40501(a) by failing to keep open a public tariff, and section 41102(a) by failing to provide Baltic with proper documentation of the shipments. *Compare* original Complaint ¶¶ V.A-D *with* Proposed Second Amended Complaint ¶¶ V.A-D.

The motion for leave to amend seeks to add two new respondents: (1) the New York law firm of Lyons & Flood, LLP, described as a maritime law firm that practices maritime law in New York, New Jersey, Connecticut, and Massachusetts; and (2) attorney Jon Werner, a partner in Lyons & Flood. (Proposed Second Amended Complaint ¶¶ II.4-8.) The proposed Second Amended Complaint contends that the original Respondents, Lyons & Flood, and Werner "have violated 46 U.S.C. § 41104(3) by retaliating against the Complainant because the Complainant has filed a complaint with the Commission." (Proposed Second Amended Complaint ¶ V.E.)

The proposed Second Amended Complaint adds an additional thirty-nine paragraphs of factual allegations to the allegations in Part IV of the original Complaint.¹ (Proposed Second Amended Complaint ¶¶ IV.27-65.) Because these alleged facts occurred after the original Complaint was filed and most occurred after the Amended Complaint was filed, this proposed pleading is correctly described as a supplemental complaint. *See* Fed. R. Civ. P. 15(d) ("On motion and reasonable notice, the court may, on just terms, permit a party to serve a supplemental pleading setting out any transaction, occurrence, or event that happened after the date of the pleading to be supplemented."). Misnaming the pleading does not prevent me from considering the motion. 6A Wright, Miller, & Kane, *Federal Practice and Procedure* § 1504 (2010).

New ¶ IV.27 states that Baltic filed its original Complaint in this proceeding on November 28, 2014. The other thirty-eight new paragraphs concern Empire's actions and the actions of its legal counsel Lyons & Flood and Werner during litigation between the Baltic and Empire in the federal district courts in New Jersey and New York.

Between November 2007 and November 2011, Empire agreed to transport more than 4,000 automobiles for Baltic. This proceeding is one of at least three cases that have resulted from their

¹ The same facts are stated in the motion, counsel's affidavit, and the proposed Second Amended Complaint.

relationship. On November 23, 2011, Baltic, Complainant in this proceeding, commenced an action against Empire and Mediterranean Shipping Company, an ocean common carrier, in the federal district court of New Jersey alleging that Empire had attempted to increase freight charges after Baltic notified Empire that it intended to end their relationship, and that Empire refused to deliver 167 containers until Baltic paid approximately \$175,000 in additional freight charges. The 2011 New Jersey complaint set forth fifteen claims for relief and sought actual, punitive, and treble damages, an injunction, a writ of replevin, attorney fees, and other relief. Proposed new respondents Lyons & Flood and Werner represented Empire in the 2011 New Jersey litigation. The litigation ended in a settlement that required Baltic to pay \$8,000 to Empire for transportation of twenty-three specifically identified containers, designated amounts to be paid to receive delivery of 139² other specifically identified containers, and for Empire to deliver the containers. *Baltic Auto Shipping, Inc. v. Michael Hitrinov a/k/a Michael Khitrinov, Empire United Lines Co., Inc., et al.*, No. 2:11-cv-06908-FSH (D.N.J. Dec. 7, 2011) (Stipulation and Dismissal).

The proposed Second Amended Complaint in this proceeding alleges that after Baltic filed its original Complaint with the Commission on November 28, 2014, Gerald Doyle, counsel for Empire in the FMC proceeding, contacted Marcus Nussbaum, Baltic's counsel, claiming that a \$200,000 loan Empire made to Baltic in 2010 had not been repaid. Nussbaum responded to Doyle and Werner, Empire's counsel on the 2011 district court case, that the loan had been repaid. Werner then contacted Nussbaum to inquire about the FMC proceeding. Nussbaum responded that since Werner had not entered an appearance in the FMC proceeding, Nussbaum would not discuss the case with him. Nussbaum also requested Doyle not to include Werner on communications to Nussbaum about the FMC proceeding, and asked Doyle not to include respondent Hitrinov on communications to Nussbaum. (Proposed Second Amended Complaint ¶¶ IV.28-35.)

The proposed Second Amended Complaint alleges that in retaliation for Baltic having filed the FMC Complaint, Werner threatened Baltic and its counsel with sanctions in the 2011 New Jersey district court case unless Baltic withdrew its FMC Complaint. Empire, represented by Werner, then filed an emergency motion in the 2011 district court case seeking an injunction that would prohibit Baltic from proceeding with its FMC Complaint. The district court denied the motion. *Baltic Auto Shipping, Inc. v. Michael Hitrinov a/k/a Michael Khitrinov, Empire United Lines Co., Inc., et al.*, No. 2:11-cv-06908-FSH (D.N.J. Jan. 16, 2015) (Order). (Proposed Second Amended Complaint ¶¶ IV.36-37.)

The proposed Second Amended Complaint alleges that Doyle disregarded Nussbaum's request and copied Werner on an email to Nussbaum requesting confirmation that the \$200,000 loan had been repaid. Nussbaum ignored Doyle's request. Doyle also copied Hitrinov on a communication to Nussbaum. (Proposed Second Amended Complaint ¶¶ IV.38-40.)

² The agreement states 138 (Settlement Agreement and Mutual Release ¶ 3), but the attachment identifies 139 containers. (Settlement Agreement and Mutual Release Attachment B.)

The proposed Second Amended Complaint alleges that in retaliation for Baltic having filed the FMC Complaint, Empire, represented by Werner, filed a new action in the federal district court in New Jersey. The new action alleged that Baltic breached the mutual release in the settlement of the 2011 New Jersey district court case by filing the FMC Complaint. The district court denied Empire's motion for an injunction that would require Baltic to terminate the FMC proceeding. *Empire United Lines Co., Inc. and Michael Hitrinov v. Baltic Auto Shipping, Inc.*, No. 2:15-cv-00355-CCC, Order at 3-4 (D.N.J. Jan. 23, 2015) (Opinion and Order) (emphasis in Opinion and Order). (Proposed Second Amended Complaint ¶¶ IV.41-42.)

The proposed Second Amended Complaint alleges that Empire filed a motion to stay the FMC proceeding that was denied by the presiding officer. (Proposed Second Amended Complaint ¶ IV.43.)

The proposed Second Amended Complaint alleges that in retaliation for Baltic having filed the FMC Complaint, Empire, represented by Werner, filed a new action in the federal district court in the Eastern District of New York alleging the Baltic failed to repay the \$200,000 loan. *Empire United Lines Co., Inc. v. Presniakovas et al.*, 1:15-cv-00557-DLI-RER (E.D.N.Y. Feb. 4, 2015) (complaint filed). Presniakovas is the owner and president of Baltic. Allegedly for the sole purpose of harassment, Werner then filed an allegedly frivolous motion to strike defendants' counterclaim and affirmative defenses in the New York district court case. Werner also demanded that Baltic dismiss its FMC Complaint or Empire would file a motion for sanctions in the New York case. After a conference with a magistrate judge, Werner admitted that the loan had been repaid in 2010. (Proposed Second Amended Complaint ¶¶ IV.44-50.)

The proposed Second Amended Complaint alleges that in retaliation for Baltic having filed the FMC Complaint, Empire, represented by Werner, allegedly for the purpose of harassment and as an improper discovery device and misrepresenting Commission law, filed a motion seeking Rule 11 sanctions against Baltic and Nussbaum in the 2015 New Jersey district court case. In a conference, a magistrate judge stated that the motion was improper. (Proposed Second Amended Complaint ¶¶ IV.51-62.)

The proposed Second Amended Complaint alleges that Werner has been advised that his actions are retaliatory, but has persisted in his activity. Werner's allegedly retaliatory acts include a campaign of filing frivolous motions in the New Jersey and New York district courts, all for the purpose of retaliating against Baltic and discouraging Baltic from prosecuting this FMC proceeding and causing Baltic to incur unnecessary legal fees. (Proposed Second Amended Complaint ¶¶ IV.63-65.)

Baltic contends that Empire and proposed respondents Lyons & Flood and Werner have violated 46 U.S.C. § 41104(3) by retaliating against Baltic because Baltic filed its Complaint with the Commission. (Proposed Second Amended Complaint ¶ V.E.)

Baltic contends that the fact pattern it presents in the new paragraphs of the proposed Second Amended Complaint “fit squarely within the meaning of the Commission’s well-established precedent that discussed the prohibition against retaliating.” (Motion for Leave to Amend at 8-9.) Baltic relies on *North River Insurance Co. v. Federal Commerce and Navigation Co.*, 20 S.R.R. 1078, 1082 (ALJ 1981) (*North River*) (citing *Federal Maritime Board v. Isbrandtsen*, 356 U.S. 481 (1958) (*Isbrandtsen*) and *Pacific American Fisheries Inc. v. American Hawaiian S.S. Co.*, 2 U.S.M.C. 270, 277 (1940)). Baltic also cites to paragraph 71 of the complaint filed in *Mark Barr v. Ocean Trade Lines Inc.*, FMC No. 14-14 (ALJ Feb. 19, 2015) (Initial Decision Approving Proposed Settlement Agreement), notice not to review Mar. 23, 2015.

B. Empire’s Opposition.

After initially filing a motion to enlarge the time to respond, on May 4, 2015, Empire filed its opposition to the motion to amend. Empire first argues that the motion should be denied because Baltic’s new claims would broaden the issues far beyond those raised in its original and amended complaints. Permitting the amendment would delay the proceedings as discovery on the matters alleged in support of the new factual allegations would be complicated. (Empire Opposition at 2-3.)

Second, Empire argues that the proposed Second Amended Complaint fails to state a claim of violation of section 41104(3) of the Shipping Act. The allegations primarily concern actions taken in cases in the district courts of New Jersey and New York long after the parties’ business relationship ended. *Isbrandtsen*, the case cited in *North River*, *supra*, decided under the predecessor Shipping Act, 1916, explains that the analogous section in the 1916 Act was directed at practices that have the purpose and effect of stifling competition such as retaliating against a shipper that has used another carrier. Even if it is assumed that the new allegations in the proposed Second Amended Complaint are true, the complaint fails to state a claim. (Empire Opposition at 4-6.)

II. RELATED FILINGS.

Baltic’s motion to amend precipitated several related filings.

DATE	MOTION
April 29, 2015	Motion for Leave to Intervene and for Extension of Time to Oppose Complainant’s Motion for Leave to Amend Complaint filed by proposed new respondents Lyons & Flood, LLP, and attorney Jon Werner. Lyons & Flood and Werner sought to appear specially to oppose adding them as respondents in this proceeding. Because Werner was scheduled to be out of the country, they sought extension of time to respond to the motion until May 18, 2015. On May 1, 2015, Baltic filed Complainant’s Brief in Opposition to the Motion by Respondents to Amend the Briefing Schedule on Pending Motions.

- May 1, 2015 Respondents' Motion to Amend Briefing Schedules on Pending Motions filed by Empire seeking (1) enlargement of time to file its opposition to the motion to amend to May 18, 2015, the date sought by Lyons & Flood and Werner, and (2) enlargement of time to respond to Complainant's Motion for Reconsideration. On May 4, 2015, Empire filed its opposition to the motion to amend and on May 8, 2015, Empire filed its opposition to the motion for reconsideration. Therefore, the motion to amend briefing schedules filed May 1, 2015, is moot.
- May 6, 2015 Respondents' Motion for a Conference to Establish and Amend the Schedule for the Briefing of Matters Before the Commission filed by Empire. This motion seeks enlargement of time to respond to Baltic's response to the motion for partial summary decision to May 26, 2015, a request to which Baltic consents. It also seeks enlargement of time to respond to the motions for leave to amend and for reconsideration, requests to which Baltic does not consent.
- May 7, 2015 Respondents' Motion for Leave to File Supplemental Memorandum in Opposition to Complainant's Motion to Amend, and for an Extension of the Briefing Schedule filed by Empire. This motion seeks leave to file a supplemental memorandum addressing matters raised in a letter filed with the federal district court in New Jersey in the 2015 case. It also seeks extension of time to file Empire's opposition to Baltic's motion for reconsideration to which Baltic does not consent and leave to reply to Baltic's opposition to Empire's motion for partial summary decision to which Baltic does consent.
- May 11, 2015 Respondents' [Second] Motion for an Extension of Time to Serve and File Reply to Complainant's Opposition to Motion for Summary Decision filed by Empire. This motion seeks the same relief – enlargement of time to respond to Baltic's response to the motion for partial summary decision – as Empire's May 6, 2015, motion.

DISCUSSION

I. COMPLAINANT'S MOTION FOR LEAVE TO AMEND ITS COMPLAINT.

Section 41104(3) of the Act provides:

A common carrier, either alone or in conjunction with any other person, directly or indirectly, may not . . . (3) retaliate against a shipper by refusing, or threatening to refuse, cargo space accommodations when available, or resort to other unfair or unjustly discriminatory methods because the shipper has patronized another carrier, or has filed a complaint, or for any other reason.

46 U.S.C. § 41104. Section 41104(3) was derived from section 14 Third of the Shipping Act, 1916, “which was copied virtually verbatim into the 1984 Act as section [41104(3)].” *International Association of NVOCCs v. Atlantic Container Line*, 1990 FMC LEXIS 5 (ALJ Jan. 25, 1990). Section 14 Third stated:

No common carrier by water shall, directly or indirectly, in respect to the transportation by water of passengers or property between a port of a State, Territory, District, or possession of the United States and any other such port or a port of a foreign country . . . Third. Retaliate against any shipper by refusing, or threatening to refuse, space accommodations when such are available, or resort to other discriminating or unfair methods, because such shipper has patronized any other carrier or has filed a complaint charging unfair treatment, or for any other reason.

Isbrandtsen, 356 U.S. at 483 n.4 (quoting 46 U.S.C. § 812 (1958)).

In *Isbrandtsen*, the Japan-Atlantic and Gulf Freight Conference (Conference), an ocean common carrier conference, established rates for transportation of cargo between Japan and United States Gulf of Mexico and Atlantic ports. *Isbrandtsen*, an ocean common carrier that was not a member of the Conference, entered the trade and set its rates for that trade at a level approximately 10% below Conference rates. To meet this threat, in December 1952 the Conference proposed a rate system under which a shipper could pay 9.5% less than regular freight rates for the same service if the shipper signed an exclusive-patronage contract with the conference. *Isbrandtsen* and others filed protests, but the Federal Maritime Board refused to suspend the dual-rate system pending Board review. *Isbrandtsen* filed petition for stay in the United States Court of Appeals for the District of Columbia Circuit and the court granted a stay of the Board’s order insofar as it authorized the Conference to institute the dual-rate system pending Board review. In an action primarily directed at *Isbrandtsen*, the Conference responded to the court’s stay by opening rates to allow each carrier to fix its own rates. The Board found that “it was hoped that the rate war would lead to *Isbrandtsen*’s joining the Conference or to the institution of the dual rate system or other system.” *Id.* at 487. Rates dropped significantly and in some instances fell below handling costs, and *Isbrandtsen* ended up carrying little cargo in the trade. The Board issued its last order approving the dual rate system in January 1956 and *Isbrandtsen* sought review in the court of appeals. *Id.* at 483-487.

The court of appeals granted the petition for review and set aside the Board’s order on the ground that the system of dual rates was illegal *per se* under section 14 Third of the 1916 Act. The Supreme Court granted the Board’s petition for writ of certiorari. The Court reviewed the development of section 14 Third. The Court began its discussion by noting that “Congress in § 14 has flatly prohibited practices of conferences which have the purpose and effect of stifling the competition of independent carriers.” *Id.* at 491. After a discussion on the development of this section, the Court concluded:

Since the Board found that the dual-rate contract of the Conference was “a necessary competitive measure to offset the effect of non-conference competition” required “to meet the competition of Isbrandtsen in order to obtain for its members a greater participation in the cargo moving in this trade,” it follows that the contract was a “resort to other discriminating or unfair methods” to stifle outside competition in violation of § 14 Third.

Id. at 493. The Board argued that Congress was aware of dual-rate contracts and did not specifically outlaw them so therefore implicitly approved. The Court distinguished the dual-rate contracts considered by Congress when it enacted the 1916 Act from the dual-rate contracts proposed by the Conference and concluded:

It would be anomalous for Congress to strike down deferred rebates and at the same time fail to strike down dual-rate contracts having the same objectionable purpose and effect. Events have proved the accuracy of the prediction that the outlawing of the deferred-rebate system would lead conferences to adopt a contract system, as here, specially designed to accomplish the same result.

It is urged that our construction “produces a flat and unqualified prohibition of any discrimination by a carrier for any reason” and converts the rest of the statute into surplusage. But that argument overlooks the revealed congressional purpose in § 14 Third. That purpose, as we have said, was to outlaw practices in addition to those specifically prohibited elsewhere in the section when such practices are used to stifle the competition of independent carriers. The characterizations “unjustly discriminatory” and “unjustly prejudicial” found in other sections (§§ 15, 16 and 17) imply a congressional intent to allow some latitude in practices dealt with by those sections, but the practices outlawed by the “resort to” clause of § 14 Third take their gloss from the abuses specifically proscribed by the section; that is, *they are confined to practices designed to stifle outside competition.*

Isbrandtsen, 356 U.S. at 495 (footnote omitted) (emphasis added).

Section 41104(3), like its predecessor section 14, Third, is not “a flat and unqualified prohibition of any discrimination by a carrier for any reason.” *Isbrandtsen*, 356 U.S. at 495. The Second Amended Complaint proposed by Baltic does not allege that Empire, Hitrinov, Lyons & Flood, or Werner took any action against Baltic designed to stifle outside competition. The claim that Baltic seeks to add to its Complaint is that Respondents and proposed new Respondents violated section 41104(3) of the Act by their alleged actions in the cases in the federal district courts in New Jersey and New York or in this proceeding. The alleged actions have nothing to do with competition or stifling competition in the transportation by water of cargo between the United States and foreign ports and nearly all of the alleged actions occurred in the litigation between the parties in the federal district courts of New Jersey and New York, actions that have nothing to do with the Commission

or its jurisdiction. Section 41104(3) does not grant power to the Commission to police the litigation tactics of common carriers or OTIs in the federal courts.

Baltic also moves to add Lyons & Flood, a law firm, and Werner, an attorney, as respondents in this proceeding. Neither Lyons & Flood nor Werner is a common carrier or OTI subject to the regulatory requirements of sections 40501, 41102(c), or 41104 of the Act. Part V of the proposed Second Amended Complaint appears to contend that Lyons & Flood and Werner were engaged only in the alleged retaliatory acts, not in the violations of the other sections of the Act that were already alleged in Baltic's Amended Complaint. To the extent that Baltic may have intended the proposed Second Amended Complaint to allege that Lyons & Flood and Werner violated the sections of the Act set forth in Part V of the original Complaint, the proposed Complaint does not state claims against these persons who are not subject to the Act. Even if the allegations of retaliation set forth in the proposed Second Amended Complaint were found to state a claim against the original Respondents, it would not state a claim against Lyons & Flood and Werner.

Therefore, the proposed Second Amended Complaint fails to state a claim that Respondents and proposed Respondents violated section 41104(3).

"Courts may deny a motion to amend a complaint as futile . . . if the proposed claim would not survive a motion to dismiss." *James Madison Ltd. v. Ludwig*, 82 F.3d 1085, 1099 (D.C. Cir. 1996). The new claim set forth in Baltic's proposed Second Amended Complaint fails to state a claim of violation of section 41104(3). Therefore, Baltic's motion for leave to amend its Complaint is denied.

II. RELATED FILINGS.

With one exception, the motions identified in Part II of the Background section above are mooted by this order. Empire's motion to enlarge time to file its reply to Baltic's opposition to Empire's motion for partial summary decision to May 26, 2015, a motion to which Baltic consents, is granted. In all other respects, the motions are dismissed as moot.

ORDER

Upon consideration of Complainant's Motion for Leave to Amend Its Complaint, the opposition thereto, and the record herein, and for the reasons stated above, it is hereby

ORDERED that Complainant's Motion for Leave to Amend Its Complaint be **DENIED**. It is

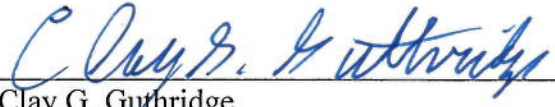
FURTHER ORDERED that the Motion for Leave to Intervene and for Extension of Time to Oppose Complainant's Motion for Leave to Amend Complaint filed by Lyons & Flood, LLP, and attorney Jon Werner be **DISMISSED AS MOOT**. It is

FURTHER ORDERED that Respondents' Motion to Amend Briefing Schedules on Pending Motions be **DISMISSED AS MOOT**. It is

FURTHER ORDERED that Respondents' Motion for a Conference to Establish and Amend the Schedule for the Briefing of Matters Before the Commission be **GRANTED** to the extent it seeks enlargement of time to May 26, 2015, for Empire to file its reply to Baltic's opposition to the motion for partial summary decision. Respondents' prayer for other relief is **DISMISSED AS MOOT**. It is

FURTHER ORDERED that Respondents' Motion for Leave to File Supplemental Memorandum in Opposition to Complainant's Motion to Amend, and for an Extension of the Briefing Schedule be **DISMISSED AS MOOT**. It is

FURTHER ORDERED that Respondents' [Second] Motion for an Extension of Time to Serve and File Reply to Complainant's Opposition to Motion for Summary Decision be **DISMISSED AS MOOT**.


Clay G. Guthridge
Administrative Law Judge